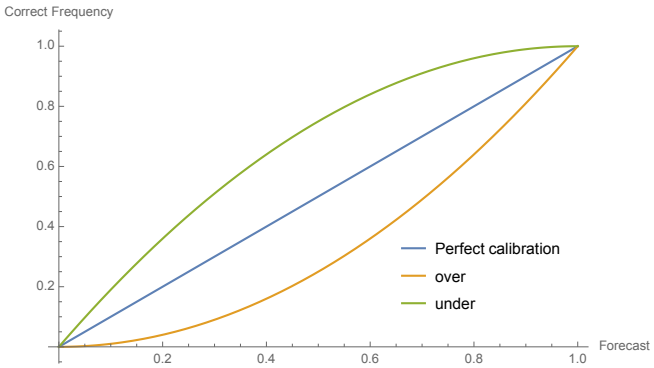

Figure 3.12: *Probabilistic calibration as seen in the psychology literature. The x axis shows the estimated probability produced by the forecaster, the y axis the actual realizations, so if a weather forecaster predicts* 30% *chance of rain, and rain occurs* 30% *of the time, they are deemed "calibrated". We hold that calibration in frequency (probability) space is an academic exercise (in the bad sense of the word) that mistracks real life outcomes outside narrow binary bets. It is particularly fallacious under thick tails. The point is discussed at length in Chapter 11.*

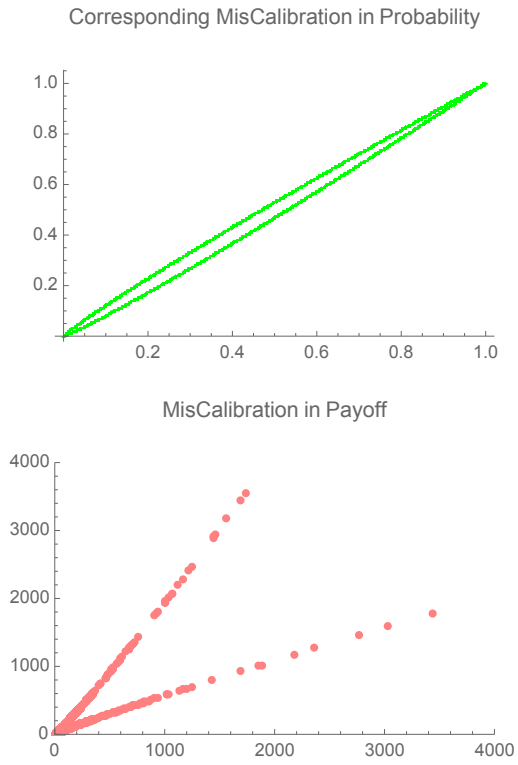

Figure 3.13: *How miscalibration in probability corresponds to miscalibration in payoff under power laws. The generated distribution is Pareto with tail index* $\alpha = 1.15$.